

9-2 Accounting for Depreciation

Over time, fixed assets, with the exception of land, lose their ability to provide services. Thus, the costs of fixed assets such as equipment and buildings should be recorded as an expense over their useful lives.

Recording the cost of fixed assets as an expense is called **depreciation**. Because land has an unlimited life, it is not depreciated.

Objective 2 - Compute depreciation using the following methods: straight-line, units-of-activity, and double-declining-balance.

Depreciation can be caused by physical or functional factors.

- *Physical depreciation* factors include wear and tear during use or from exposure to weather.
- *Functional depreciation* factors include obsolescence and changes in customer needs that cause the asset to no longer provide services for which it was intended. For example, equipment may become obsolete due to changing technology.
- Two common misunderstandings that exist about depreciation as used in accounting include:
 - Depreciation does not measure a decline in the market value of a fixed asset. Instead, depreciation is an allocation of a fixed asset's cost to expense over the asset's useful life. Thus, the **book value** (The difference between the cost of a fixed asset and its accumulated depreciation.) of a fixed asset (cost less accumulated depreciation) usually does not agree with the asset's market value. This is justified in accounting because a fixed asset is for use in a company's operations rather than for resale.
- Depreciation does not provide cash to replace fixed assets as they wear out. This misunderstanding may occur because depreciation, unlike most expenses, does not require an outlay of cash when it is recorded.